Regulatory Framework: BNM CCPT (2021) · BSP Circular No. 1085 (2020) · UNFCCC Article 6
Supporting asymmetric MYS vs PHL surcharge rates and treaty exclusion triggers

Bank Negara Malaysia
Climate Change & Principle-based Taxonomy (CCPT)

Tier	Label	Description	HRe Implication
C1	Climate-Supporting	Aligned with net-zero	No surcharge
C2	Transition (Watchlist)	Credible transition plan	+1–2% loading
C3	Transition (Mandatory)	BNM-mandated transitior plan required	+3–5% loading
C4	Excluded	Incompatible with net-zer (effective 2024)	Non-renewal · treaty exclusion

C4 activities excluded from BNM-regulated financing from 2024.
MYS energy & LULUCF cedants with C3/C4 exposure: direct treaty repricing trigger.

Bangko Sentral ng Pilipinas
Sustainable Finance Framework (Circular No. 1085, 2020)

Provision	Description	HRe Implication
Art. 4.1	Banks must assess climate transi risk in credit portfolios	Reduced capacity for high-emission cedants
Art. 4.3	NGFS scenario stress testing aligned with NZ2050 pathway	NZ2050 USD 55.58/t carbon price directly recognized by BSP
Double Squeeze	PHL high-emission cedants: regulatory cost + credit tightenin	Elevated treaty default risk for agriculture/energy book
HRe Action	Validate PHL cedant BSP complian at each treaty renewal	Triggers 1–2% surcharge if BSP Art.4.1 exposure confirmed

The NZ2050 carbon price pathway used in Exhibit 2 is directly recognized
by BSP supervisory guidance (Art. 4.3), strengthening scenario defensibility.

UNFCCC Paris Agreement Article 6
Carbon Market Mechanisms (ITMOs)

Mechanism	Country Context	HRe Treaty Implication
Art. 6.2 Bilateral ITMOs	PHL LULUCF net sink (−50 MtCO2e) eligible for bilateral trades	Carbon credit revenue partially offsets PHL transition cost
Art. 6.4 UN Market (CDM+)	MYS & PHL sink activities eligible from 2025 (UN-supervised)	Reduces effective pass-through rate for sink-holding cedants
Asymmetric Pricing Justification	PHL net sink vs MYS net emitter (+63 MtCO2e LULUCF)	PHL: 1–2% surcharge MYS: 3–5% surcharge Differential is evidence-based

Article 6 creates asymmetric carbon credit flows: PHL net-sink cedants
have partial offsets, justifying the lower 1–2% pass-through vs MYS 3–5%.